

HOW TO GET IT RIGHT



DOs

CODIFY LEGACY

DOCUMENT FAMILY VISION AND VALUES IN A CONSTITUTION OR CHARTER; TRANSLATE THEM INTO LEADERSHIP CRITERIA SO THAT THEY REMAIN A LIVING ANCHOR

START GROOMING SUCCESSORS FIVE-SEVEN YEARS IN ADVANCE

SET UP ADVISORY BOARDS OR SUCCESSION COMMITTEES FOR OBJECTIVITY

ENSURE TRANSPARENT PERFORMANCE METRICS FOR PROFESSIONAL LEADERS

PROVIDE CLARITY DECIDE UPFRONT IF LEADERSHIP STAYS WITHIN THE FAMILY OR SHIFTS TO PROFESSIONALS, AND RESPECT THAT DECISION THROUGH A BOARD-DRIVEN FRAMEWORK

BOUNDARIES FOR FOUNDERS TRANSITION INTO CHAIR, MENTOR, OR NON-EXECUTIVE DIRECTOR ROLES—PRESERVING CONTINUITY WHILE GIVING SUCCESSORS REAL AUTHORITY

START EARLY AND TEST READINESS GIVE FUTURE LEADERS DIVERSE PORTFOLIOS AND EXPOSURE TO CULTURE BEFORE THEY ASSUME THE TOP ROLE

DON'Ts

DON'T EQUATE SHAREHOLDING WITH LEADERSHIP ENTITLEMENT

DON'T DELAY SUCCESSION PLANNING UNTIL CRISIS STRIKES

DON'T LET FAMILY DISPUTES SPILL INTO MANAGEMENT DECISIONS

DON'T MICROMANAGE NON-FAMILY CEOs, EMPOWER THEM INSTEAD

| 71

as promoters acknowledge the complexity of scaling up and regulatory scrutiny, recognising that professional CEOs are better equipped to meet investor and compliance expectations.

For heirs, legacy is being redefined to lie in ownership, values, and shaping the future, with their focus on the transformation agenda, new ventures, funds, and innovation platforms, while professional CEOs take charge of running and growing the core business.

Younger members are professionalising family offices, channelling wealth into start-ups, alternative assets, and other investments. Much like in Singapore and South Korea, these offices are fast becoming centres of influence, innovation, and intergenerational stewardship.

Bhalla's views find resonance with Raj Lakhota, a seasoned professional in tax advisory, succession planning, and transaction advisory and Managing Partner at L A B H & Associates. "The reality is that many second-generation heirs are no longer tied to the traditional model of joining the family firm. A large proportion are settled abroad, and not keen on returning to run legacy businesses that they may see as conventional or slow-moving. Their aspirations are increasingly tech-driven, building start-ups, entering the digital economy, or pursuing careers in global corporations that promise structured five-day work weeks and the freedom of weekends, away from the intensity of family-run enterprises."

Bhalla adds that this shift mirrors a broader social